Line 5

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

TBF FINANCIAL I, LLC, limited liability company, Plaintiff, v. LEGEND LEARNING AND FAMILY RESOURCE CENTER, INC., corporation; and DOES through 50, inclusive, Defendants.	Case No. 23CV427050 **[Tentative] ORDER RE DEFENDANT'S MOTION FOR SUMMARY JUDGMENT**

Legend Learning and Family Resource Center's ("Defendant" or "Legend") motion for summary judgment comes on for hearing before the Court on February 27, 2025. Pursuant to California Rule of Court 3.1308, the Court issues its tentative ruling.

I. Alleged Facts

This is an action for breach of contract arising out of Legend's purported failure to pay $10,935 (plus 18 percent interest per annum from June 2, 2020, onward) due under an equipment finance lease agreement. (Complaint, ¶¶ 4, 11; Exh. A – Total Image Management Master Agreement ("Agreement"); see also Exh. B – Accounting Statement).

According to the Complaint, on February 11, 2020, Legend entered the Agreement with Pacific Office Automation, Inc. ("Pacific"), and Pacific "fully performed all the terms and conditions" of the Agreement. (Complaint, ¶¶ 4-5.) Immediately after Legend and Pacific signed the Agreement, Pacific "assigned and transferred" to First Citizens Bank & Trust Company ("First Citizens") all its "rights, title and interest in and to the Agreement." (Complaint, ¶ 6.) On June 2, 2020, Legend defaulted on its obligations by failing to make payments due under the Agreement. (Complaint, ¶ 7, Exh. B – Accounting Statement.) Despite First Citizens' demands for payment, Legend failed and refused to pay the outstanding balance due. (Complaint, ¶ 8.) Approximately two years later, First Citizens assigned "for valuable consideration, all of its right, title, and interest in and to the Agreement" to TBF Financial I, LLC, a limited liability company ("Plaintiff" or "TBF"). (Complaint, ¶¶ 9-10.) Defendant failed to pay the principal $10,935 or interest despite Plaintiff's demands. (Complaint, ¶ 12.)

Plaintiff filed the Complaint on December 4, 2023, asserting breach of contract. On November 27, 2024, Legend filed this motion for summary judgment, which Plaintiff opposes.

II. Defendant's Evidentiary Objections

Defendant's objections to the Brett Boehm Declaration are not in the proper format, thus the Court need not rule on them. (*Vineyard Spring Estates v. Superior Court* (2004) 120 Cal.App.4th 633, 642 [trial courts have duty to rule on evidentiary objections only if presented in proper format]; *Hodjat v. State Farm Mutual Automobile Ins. Co.* (2012) 211 Cal.App.4th 1 [trial court not required to rule on objections that do not comply with Rule of Court 3.1354 and not required to give objecting party a second chance at filing properly formatted papers].) California Rules of Court, Rule 3.1354(c) requires the filing of two documents: evidentiary objections and a separate proposed order on the objections, and both must be in one of the two approved formats set forth in the Rule. Defendant filed a single document listing objections and signed by counsel with no place for a judge's signature and for the Court to checkmark its rulings. This is insufficient per Rule 3.1354(c).[2]

III. Legal Standard

Any party may move for summary judgment. (Code Civ. Proc., § 437c, subd. (a); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar*).) The motion "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc., 437c, subd. (c); *Aguilar, supra*, 25 Cal.4th at p. 843.) The object of the summary judgment procedure is "to cut through the parties pleading" to determine whether trial is necessary to resolve the dispute. (*Aguilar, supra*, at p. 843.)

"A defendant seeking summary judgment must show that at least one element of the cause of action cannot be established, or that there is a complete defense to the cause of action…The burden then shifts to the plaintiff to show there is a triable issue of material fact on that issue." (*Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co.* (2002) 98 Cal.App.4th 66, 72, internal citations omitted; emphasis added.)

When a defendant moves for summary judgment, "its declarations and evidence must either establish a complete defense to plaintiff's action or demonstrate the absence of an essential element of plaintiff's case. If plaintiff does not counter with opposing declarations showing there are triable issues of fact with respect to that defense or an essential element of its case, the summary judgment must be granted." (*Gray* v. *America West Airlines, Inc*. (1989) 209 Cal.App.3d 76, 81.)

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[2] Defendant also argues Plaintiff's separate statement is procedurally defective. "An opposing party who contends that a fact is disputed must state, on the right side of the page directly opposite the fact in dispute, the nature of the dispute and describe the evidence that supports the position that the fact is controverted. Citation to the evidence in support of the position that a fact is controverted must include reference to the exhibit, title, page, and line numbers." (Cal. Rules of Court, rule 3.1350(f)(2).) While the Court agrees Plaintiff's separate statement is lacking, it is substantially compliant, and the Court will not deny the motion on this ground. (Code Civ. Proc., § 437c, subd. (b)(3), (failure to comply "may constitute a sufficient ground, in the court's discretion, for granting the motion".)

If the moving party makes the necessary initial showing, the burden of production shifts to the opposing party to make a *prima facie* showing of the existence of a triable issue of material fact. (Code Civ. Proc., 437c, subd. (c); *Aguilar, supra*, 25 Cal.4th at p. 850.) A triable issue of material fact exists "if, and only if, the evidence would allow of reasonable trier of fact to find the underlying facts in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Aguilar, supra*, at p. 850, fn. omitted.) If the party opposing summary judgment presents evidence demonstrating the existence of a disputed material fact, the motion must be denied. (*Id*. at p. 843.)

Throughout the process, the trial court "must consider all of the evidence and all of the inferences drawn therefrom." (*Aguilar, supra*, 25 Cal.4th at p. 856.) The moving party's evidence is strictly construed, while the opponent's is liberally construed. (*Id*. at p. 843.)

Pursuant to Code of Civil Procedure section 437c, Legend moves for summary judgment to Plaintiff's sole claim for breach of contract in her Complaint.

IV. Analysis

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186; see also CACI, No. 303.) Defendant does not dispute that its employee, Lydia Liu, entered the Agreement on February 11, 2020, that the goods were delivered, and that it did not pay the full contract amount for the goods. The sole dispute is whether Liu had actual or ostensible authority to bind the Defendant when she signed the Agreement such that the contract is enforceable against it. An agent may bind a principal to a contract if the agent has either actual or ostensible authority to do so or, if the agent is unauthorized to do so, the principal ratifies the agent's unauthorized action. (Civ. Code, §§ 2307 & 2330.)

A. Actual Authority

Actual authority "is such as a principal intentionally confers upon the agent, or intentionally, or by want of ordinary care, allows the agent to believe himself to possess." (Civ. Code, § 2316.) Thus, actual authority can be express or implied. (*Ibid.*) To meet its initial burden to demonstrate actual authority, Defendant proffers the following facts:

1) Article V of Legend's Bylaws provides: Only the President (or Chief Executive Officer) and other officers explicitly authorized by the Board of Directors have the authority to bind the corporation by entering into contracts. Contracts exceeding $10,000 or more involving obligations lasting more than one year require prior approval by a majority vote of the Board of Directors (Undisputed Material Facts ("UMF") No. 3; Declaration of Paul Chan ("Chan Decl."), ¶ 4, Exh. A – Resolution and Bylaws);

2) Article V further provides: No other officer, employee, or agent of the corporation shall have authority to bind the corporation unless expressly authorized by resolution of the Board. Unauthorized actions by any officer, employee, or agent will not bind the corporation <u>unless formally ratified by the Board of Directors</u> (UMF No. 4; Chan Decl., ¶ 4, Exh. A);

3) In 2020, Legend employed Liu as center director for its Learning Center, and her written job description required her to report to the Executive Director (Jodith Cheung) on all staff purchase requests over $50. (UMF Nos. 2, 7, 9; Chan Decl., ¶ 3; Declaration of Jodith Cheung ("Cheung Decl."), ¶¶ 3-4, Exh. C – Liu Job Description);

4) Liu failed to follow the bylaw or job description requirements before she signed the Agreement. (UMF Nos. 10, 15; Cheung Decl., ¶ 5; Chan Decl., ¶ 7); and

5) Legend did not know about the Agreement until its principals received a collections notice in October 2020 (UMF No. 13; Chan Decl., ¶ 5; Cheung Decl., ¶ 7).

This is sufficient for Legend to meet its initial burden.

In opposition, Plaintiff argues the lack of authority is a pretext for nonpayment; Defendant is simply "dissatisfied with the performance of the copier" (UMF No. 14 ["The printer has never been used because it has no toner and it cannot go online"]; Chan Decl., ¶ 6.) Plaintiff further argues Legend's three payments pursuant under the Agreement and retention of the copier evince Liu's authority. (Opp., p. 4:708; Declaration of Brett Boehm in Opp. (Boehm Decl."), ¶¶ 6-7, Exh. B – Accounting Statement.)

This evidence, even if considered, fails to demonstrate a triable issue of material fact as to whether Legend's employee had actual authority to bind Legend under the Agreement. Actual authority "is such as a principal intentionally confers upon the agent, or intentionally, or by want of ordinary care, allows the agent to believe himself to possess." (Civ. Code, § 2316.) Given Defendant's evidence that it communicated to Liu that she specifically did not have this authority, Plaintiff's arguments and evidence of payments, without more, fails to create a triable issue of fact regarding actual authority.

B. Ostensible Authority

Ostensible authority is the authority of the agent which the principal causes or *allows a third person to believe* that the agent possesses. (Civ. Code, § 2317 (emphasis added).) Ostensible authority cannot be based on the agent's conduct alone; there must be evidence of conduct by the principal which causes a third party to reasonably believe the agent has authority. (*Peterson v. Securities Settlement Corp.* (1991) 226 Cal.App.3d 1445, 1452; see also *Gulf Ins. Co v. TIG Ins. Co.* (2001) 86 Cal.App.4th 422, 438-439 [stating that ostensible authority "must be established through the acts or declarations of the principal and not the acts or declarations of the agent"].)

For an agent to bind a principal to a contract based on the agent's ostensible authority, (1) "the person dealing with the agent must do so with belief in the agent's authority and this belief must be a reasonable one"; (2) "such belief must be generated by some act or neglect of the principal sought to be charged"; and (3) "the third person in relying on the agent's apparent authority must not be guilty of negligence." (*Ass'd Creditors' Agency v. Davis* (1975) 13 Cal.3d 374, 399 (*Davis*).) "No liability is incurred by the principal for acts of the agent beyond the scope of the agent's actual or ostensible authority, and a third party who deals with an agent and knows of the agency is under a duty to ascertain its scope." (*Seneca Ins. Co v. County of Orange* (2004) 117 Cal.App.4th 611, 620, internal citation omitted.)

For Legend to meet its initial burden, it must demonstrate that when Pacific entered the Agreement with Defendant's employee, authority was not "established through the acts or declarations" of Legend. (See *Davis, supra,* 13 Cal.3d at p. 399.) Legend submits evidence that neither of its principals "ever communicated to [Pacific]" that Liu had authority to sign contracts on Legend's behalf, and instead, the executive director of Legend signed a previous contract with Pacific in 2015 as "Ex Director." (MPA.MSJ, p. 6:1-7, see also UMF No. 13 ["Legend did not know of the purported contract Ms. Liu signed until its principals received a collections Notice in October 2020"]; Chan Decl., ¶ 5; Cheung Decl., ¶ 7.) Legend further asserts there is no evidence that Pacific, who is not a party to this lawsuit, made any inquiry into Liu's purported authority to sign, whether the executive director was still with Legend, or why the signatory had changed. (*Ibid.*) Legend concludes that "no conduct by any officer of Legend and no prior business transactions" could reasonably have led Pacific to believe Liu was authorized to bind Legend to the contract, and Plaintiff provides no evidence other than Liu's signature to "create a record of ostensible authority." (MPA.MSJ, p. 6:11-16.) This is sufficient for Legend to meet its initial burden.

In opposition, Plaintiff points to the fact that Legend acted on the Agreement terms (by making the first three payments) up until its default on June 2, 2020, which was four months after its employee entered into an allegedly unauthorized contract with Pacific and retained possession of the copier. (Boehm Decl., ¶¶ 6-7.) According to Plaintiff, if the Agreement, is in fact, invalid, then Defendant would not have proffered evidence about the quality of the copier, made the first three payments per the Agreement terms, and retained possession of the copier. (Opp., p. 4:1-8.) Rather, Plaintiff argues, Legend would have repudiated the contract outright. (Opp., p. 4:1-8.)

The Court finds this sufficient to create a triable issue of fact.

First, a point of law neither party briefed is that the issue of ostensible authority is a question of fact. (*Meyer v. Ford Motor Co.* (1969) 275 Cal.App.2d 90; *House Grain Co. v. Finerman & Sons* (1953), 116 Cal. App. 2d 485; *Thompson v. Machado* (1947) 78 Cal. App. 2d 870.) Next, while *Credit Bureau of San Diego, Inc. v. Beach* (1956) 144 Cal.App.2d 439, 444 (*Beach*) does state "It is a general rule of law that where a third person relies upon an ostensible agency, he must give evidence of similar transactions in which the act of the agent was authorized or recognized" not having such evidence cannot, on its own, preclude a finding of ostensible authority. For example, in a case where the principal undertook acts in the third party's presence that lead the third party to reasonably believe in the agent's authority, the lack of "evidence of similar transactions in which the act of the agent was authorized or recognized" would not preclude a finding of ostensible authority. The better analysis is that such evidence would support a finding of a third party's reasonable belief in the agent's authority, but other evidence could also support such a reasonable belief.

Here, Defendant made payments on and kept the goods. While Defendant complains that the evidence of payment is inadmissible, Defendant does not dispute that the payments were made or that the good were retained. This is sufficient to raise a triable issue of fact as to whether Legend ratified Liu's action of entering the Agreement.

Accordingly, Defendant's motion for summary judgment is DENIED.

IT IS SO ORDERED.

Date: ________________________ ____

The Honorable Evette D. Pennypacker
Judge of the Superior Court